had no adequate experience in the type of production called for by the contract. The principles discussed in §81.-1235a inclusive, will be applicable to the use of the article in these instances subject to the additional provisions set forth in § 81.1235a (d). The above mentioned changes in the article set out in paragraph (a) of this section are:

(1) Add to paragraph (a) of the article set out in paragraph (a) of this section:

The Government and the Contractor recognize that the costs of performing this contract cannot be accurately estimated at the time of its execution and that the contract price fixed may therefore be either too high or too low. They, therefore, agree that the contract price may be revised upward or downward in accordance with this article and to the extent thereby permitted upon demand of either party as herein provided.

(2) Substitute for the first sentence of paragraph (c) of the article set out in paragraph (a) of this section.

(c) Every demand under this article shall specify the date (which, except as provided in the next sentence of this paragraph (c) *and in paragraph (h)*, shall not be earlier than the delivery of the demand) after which the adjusted prices shall be effective, which date is herein referred to as "the effective date of the demand". In the case of the first demand made pursuant to this article by either party, if made prior to the delivery of thirty percent of the (*here specify principal items to be furnished under the contract*) to be furnished under the contract, the effective date of the demand may be the day before the first delivery of items actually made under this contract.

(3) Add to paragraph (d) 1 (B) of the article set out in paragraph (a) of this section the following:

In the case of a first demand by either party pursuant to this article, which demand requests a revision of the price of items delivered under this contract prior to the delivery of such demand, the contractor shall also furnish statements showing, so far as is reasonably practicable, the experienced costs of performance under this contract from its inception to a date within 10 days of the delivery of the demand. Such costs shall be broken down in reasonable detail and itemized, so far as practicable, in the same manner as in the estimates of costs stated in the War Department Standard Procurement Form.

[Procurement Reg. 6]

PART 81—PROCUREMENT OF MILITARY SUPPLIES AND ANIMALS

INTERBRANCH AND INTERDEPARTMENTAL PURCHASES

In § 81.612 paragraph (a) is added.

§ 81.612 *Purchase of property pursuant to Public Law 670* * * *

(a) *Powers of War Food Administration and Reconstruction Finance Corporation under Public Law 670.* The functions, powers, and duties, with respect to placing orders for materials, supplies, equipment, work, or services of any kind that any requisitioned Federal agency may be in a position to supply, or to render or to obtain by contract, which are vested in the War Department, Navy Department, Treasury Department, Civil Aeronautics Administration and the Maritime Commission under Public Law 670 (see § 81.612) may also be exercised (a) by the War Food Administration, and by any constituent agency or corporation thereof, designated by the War Food Administrator (E.O. 9418; 9 F.R. 1073, 1 Feb. 1944) and (b) by the Reconstruction Finance Corporation, and by any constituent, subsidiary or controlled agency or corporation thereof designated by the Reconstruction Finance Corporation. (E.O. 9440; 9 F.R. 4999, 12 May 1944).

[Procurement Reg. 7]

PART 83—DISPOSITION OF SURPLUS AND UNSERVICEABLE PROPERTY

DISPOSITION OF PROPERTY

Sections 83.701 to 83.785 are rescinded and the following §§ 83.7–100 to 83.7–909 are substituted therefor:

General

§ 83.7–100 *Rescission of instructions.* This regulation and the regulations, manuals and other instructions to which it makes reference, include all outstanding instructions of the War Department on the subject of the disposition of personal property, title to which is in the Government, or to which the Government has the contractual right to acquire title. All other instructions are hereby rescinded. Instructions of the technical services are not affected hereby, but will be promptly conformed to this regulation.

§ 83.7–101 *Subjects not covered.* This regulation does not rescind or otherwise affect TM 38–220 or other publications concerning Stock Control for military property. It does not relate to the disposition of real property, which is governed by War Department Circular No. 8, 1944, and section II ASF Circular No. 28, 1944. It does not relate to the repair or reclamation of personal property, which is governed by War Department Circular No. 7, 1944. It does not relate to the disposition of the proceeds of sales of property, as to which see AR 35–780 and AR 35–6660. It does not relate to the redistribution or disposition of any property located outside of the continental limits of the United States. The policies and procedures governing the disposition of property which has been turned over to a salvage officer or salvage organization, are covered by AR 700–25 and TM 38–505.

§ 83.7–102 *Definitions.* The following terms, when used in this regulation, have the meanings indicated:

"Military property" consists of all supplies and equipment held for issue or issued, to or for troops, military posts within the United States, and theaters of operation; and includes tactical supplies and equipment, subsistence items and property required by tables of allowances, tables of basic allowances, and tables of equipment.

"Non-military property" is all property other than military property.

"Serviceable property" is property other than scrap or waste which is suitable for use in its existing condition.

"Non-repairable property" is unserviceable property which cannot in the best interests of the Government be mended or restored to serviceability, and scrap and waste; and includes, but is not limited to, any obsolete non-military items, and industrial materials, industrial equipment, components, and assemblies (whether partially or completely fabricated, processed or assembled and whether new, used or deteriorated), which have no reasonable use except as scrap.

"Excess property" in the case of military property, is any property in excess of the maximum stock level authorized for a particular organization, supply point or technical service; and, in the case of non-military property, is any property in excess of the immediate and definitely forseeable needs of a particular industrial installation or other function, activity, project or industrial operation in connection with which the property was acquired.

"Surplus property" is property declared by competent authority to be, or deemed to be, in accordance with the provisions of this regulation, in excess of the immediate or definitely foreseeable needs of the entire War Department.

"Termination inventory" means all personal property (including a proper part of any common materials) properly allocable to a terminated war contract or subcontract of any tier, property excess to the requirements of a cost-plus-a-fixed-fee contractor, and any property in the possession of a fixed-price contractor or subcontractor which the War Department is obligated to take over as the result of a design modification or change order, except any machinery or equipment subject to a separate contract or contract article specifically governing the use or disposition thereof. "Termination inventory" includes contractor-owned property in the hands of a fixed-price contractor or subcontractor, Government owned property in the hands of a cost-plus-a-fixed-fee contractor or subcontractor and Government owned property furnished to any contractor.

"Negotiation" means any method of reaching an agreement on the terms of sale, except the formal sealed bid procedure contemplated by section 3709, R. S. with respect to purchases. (There is no statutory requirement for the formal sealed bid procedure in the case of sales of government property. See opinions of The Judge Advocate General, dated March 19, 1941, SPJGC 1941, and March 30, 1943, SPJGC 1943, 3449).

§ 83.7–103 *Statement of War Department policy.* The demands of the war production program require that the material resources of the nation be used with the utmost efficiency. This can only be accomplished if the accumulation of excess property is avoided and if idle